

GNIOT Institute of Management Studies – PGDM (Batch 2023-25)**(TRIMESTER –IV) END TERM EXAMINATION, OCTOBER -2024****Tax Planning and Management****[Time: 2 Hours]****[Maximum Marks: 60]****Following are the course outcomes of the subject: - Tax Planning and Management**

CO	Course Outcome (CO)
CO1	Fundamentals of tax planning
CO2	Various heads of income
CO3	Application of provisions of Income Tax Act, 1961

(Note- Faculty can add the more CO's as per their subject.)**SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 150- 200 words)**

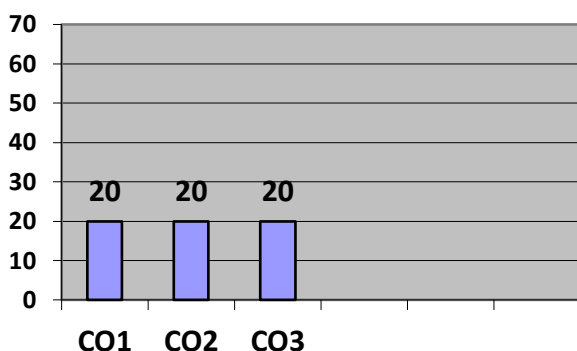
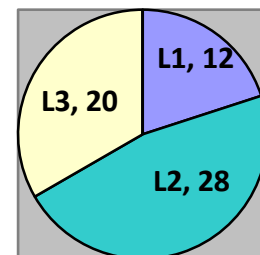
Q.1	Marks	COURSE OUTCOME	BLOOMS LEVEL
(A)	4	CO - 1	BL 1
(B)	4	CO - 1	BL 2
(C)	4	CO - 1	BL 2
(D)	4	CO - 1	BL 2
(E)	4	CO - 1	BL 2

SECTION-B**Attempt ANY TWO questions out of the following: (Long Answer Type Questions, do not exceed 300- 400 words)**

Q. No	Marks	COURSE OUTCOME	BLOOMS LEVEL
2 (A)	10	CO – 2	BL3
2 (B)	10	CO – 2	BL1
3 (A)	10	CO – 2	BL3
3 (B)	10	CO – 2	BL3

SECTION-C**Attempt all parts of the following: (Caselet / Numerical, do not exceed 300- 400 words)**

Q.4	Marks	COURSE OUTCOME	BLOOMS LEVEL
4 (A)	10	CO – 3	BL3
4 (B)	10	CO - 3	BL3

Course Outcome Wise Marks Distribution**L1 L2 L3****Bloom's Level wise Marks Distribution**

--	--	--	--	--	--	--	--	--	--

GNIOT Institute of Management Studies – PGDM (Batch 2023-25)

(TRIMESTER – IV) END TERM EXAMINATION, OCTOBER - 2024

Tax Planning and Management

[Time: 2 Hours]

[Maximum Marks: 60]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- (a) Define the term 'tax planning' and explain the objective of tax planning.
- (b) Explain provisions under the Income Tax Act, 1961 related to determining residential status of an individual.
- (c) classify between 'Tax Planning' and 'Tax Evasion'.
- (d) Explain section 80C of the Income Tax Act, 1961 useful in mitigating tax liability? Elucidate.
- (e) Illustrate the provisions of section 80CCD of the Income Tax Act, 1961 in context of tax planning.

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(2X10=20)

(a) Aarav is employed as Manager (Systems) with Deloitte Consulting India, Gurugram. He is getting following emoluments:

Basic salary	₹ 2,50,000 p.m.
Dearness Allowance	₹ 1,50,000 p.m. (forming part of salary)
Bonus	two months basic salary
Education Allowance	₹ 1,000 p.m. for each of his two children
House Rent Allowance	₹ 25,000 p.m.
Motor car (1400 cc) for office and private use with all expenses on the car	
Both employer and employee each contribute 12% of salary and DA to RPF.	

He has deposited ₹ 50,000 in 5-year term deposit account with SBI and his medical insurance premium of ₹ 20,000 with Star Health Insurance Co. during the year. He stays in his own house in Gurugram. You are required to solve the computation of his total income for the assessment year 2024-25 assuming that he is shifting out of the default tax regime under section 115BAC of the Income Tax Act, 1961.

OR

(b) How is the facility of motor car provided by the employer treated as per the provisions of the Income Tax Act, 1961?

Q.3. (a) Shobhit purchased a residential house on 1st February, 1999 for ₹ 25 lakhs. He spent a total sum of ₹ 15 lakhs for constructing additional floors in the financial year 2008-09. The house was transferred by him on 30th November, 2023 for an agreed consideration of ₹ 3 crores on which he had to pay 1% brokerage and other transfer expenses. Fair market value of the house as on 1st April, 2001 was ₹ 40 lakhs. He got a new residential house constructed and completed on 29th March, 2024 at a cost of ₹ 1.50 crores. Construct taxable capital gain for the assessment year 2024-25. (CII: 2001-02 ₹ 100, 2008-09 ₹ 137, 2023-24 ₹ 348)

OR

(b) Anirudh is planning to sell his capital assets on which he is expecting a huge capital gain tax burden. He seeks your advice as to his tax planning. You are asked to advise and help him explain various exemptions available to be claimed from long term or short-term capital gain.

SECTION-C

Sudarshan conceived the idea of entering into the garment industry but did not want to bear the burden of more legal compliances and high tax rates in initial years. So he decided to start the business as a sole proprietor. His business flourished merely within a span of four years. He planned to convert the entity from sole proprietorship to a limited company with a view to raise funds publicly by bringing an IPO of equity shares. He completed all the compliance procedures in this respect and got the company incorporated on 1st July, 2015 and thereafter, issued a prospectus to invite the public to subscribe its initial offer of equity shares during FY 2018-19. He submits financial statements of the company for the financial year 2023-24 as below:

STATEMENT OF PROFIT & LOSS for the year ended 31st March, 2024

PARTICULARS	Note No.	Amount (₹ in Crores)
REVENUE:		
Revenue from Operations		1550
Other Income (interest on investments)		<u>450</u>
Total (A)		<u>2000</u>
EXPENSE:		
Cost of Manufacturing		1050
Changes in Inventory		115
Employees Benefit Cost		180
Finance Cost		20
Depreciation and Amortisation		25
Other Expenses		<u>125</u>
Total (B)		<u>1515</u>
Profit before Tax (A-B)		485
Less: Tax Expense		<u>145</u>
Profit for the year		<u>340</u>

Additional Information:

- 1) Employees benefit cost includes a bonus of ₹ 30 Crores which remains unpaid till the due date of filing return of income.
- 2) Other expenses include a payment of ₹ 0.02 Crores in cash for an expense and also provision for doubtful debts of ₹ 1.50 Crores
- 3) Capital expenditure on scientific research amounted to ₹ 10 Crores has not been debited in profit & loss account though it is allowable under the Income Tax Act, 1961
- 4) Depreciation allowable as per section 32 of the Income Tax Act, 1961 is calculated at ₹ 19 Crores
- 5) Company issued 20,00,000 equity shares of ₹ 10 each for ₹ 25 per share when fair market value is ₹ 20 each on 1st December, 2023.
- 6) During FY 2023-24, the company recruited 25 additional workers at a salary of ₹ 80,000 per month which totals ₹ 2 Crores for the year under consideration and matches with the requirements as per section 80JJAA of the Income Tax Act, 1961.

Q.4. Attempt all parts of the following:

(2×10=20)

4(a) Calculate Income from Profits and Gains of Business or Profession for the assessment year 2024-25 in terms of the provisions of the Income Tax Act, 1961.

4(b) Estimate Total Income for the assessment year 2024-25 in terms of the provisions of the Income Tax Act, 1961.